


11.28.

$$a. \text{ Demand: } Q_d = \alpha_1 + \alpha_2 P_i + \alpha_3 PS + \alpha_4 DI + \epsilon_d$$

$$\Rightarrow \alpha_2 P = Q_d - \alpha_1 - \alpha_3 PS - \alpha_4 DI - \epsilon_d$$

$$\Rightarrow P = \frac{Q_d - \alpha_1 - \alpha_3 PS - \alpha_4 DI - \epsilon_d}{\alpha_2}$$

$$\Rightarrow P = a_1 + a_2 Q + a_3 PS + a_4 DI + \epsilon_d$$

$$a_2 = \frac{-\alpha_1}{\alpha_2} < 0, a_3 = \frac{1}{\alpha_2} > 0, a_4 = \frac{-\alpha_4}{\alpha_2} > 0$$

$$\text{Supply: } Q_s = B_1 + B_2 P + B_3 PF + \epsilon_s$$

$$\Rightarrow B_2 P = Q_s - B_1 - B_3 PF - \epsilon_s$$

$$\Rightarrow P = \frac{Q_s - B_1 - B_3 PF - \epsilon_s}{B_2}$$

$$\Rightarrow P = b_1 + b_2 Q + b_3 PF + \epsilon_s$$

$$b_2 = \frac{1}{B_2} > 0; b_3 = \frac{-B_3}{B_2} > 0 \quad \#$$